

1. EXECUTIVE SUMMARY

US markets are sharply bifurcated heading into Friday's crucial May jobs report. The Dow Jones surged to a fresh record high on Thursday, jumping over 900 points (+1.8%) led by UnitedHealth, JPMorgan, and Walmart, while the Nasdaq slipped on a brutal Broadcom-led semiconductor selloff. AVGO plunged 14% after a Q2 revenue miss and unchanged AI chip guidance. Oil prices retreated from recent highs on hopes for a US-Iran deal to reopen the Strait of Hormuz, with WTI crude falling nearly 4% to ~\$92. Treasury yields edged lower across the curve. The VIX remains subdued at 15.5. All eyes now turn to Jobs Friday.

2. MARKET SNAPSHOT

Data as of Thursday June 4, 2026 ~1:00 PM EDT. Markets still open.

Asset	Level	Change	Source
S&P 500	7,583.5	+29.8 (+0.4%)	Yahoo Finance
Dow 30	51,582	+895 (+1.8%)	Yahoo Finance
Nasdaq Composite	26,822	-31 (-0.1%)	Yahoo Finance
Russell 2000	2,930	+36 (+1.3%)	Yahoo Finance
VIX	15.47	-0.59 (-3.7%)	Yahoo Finance
10-Year Treasury	4.467%	-2.4bp	Yahoo Finance
5-Year Treasury	4.181%	-3.3bp	Yahoo Finance
30-Year Treasury	4.972%	-1.8bp	Yahoo Finance
WTI Crude Oil	\$92.31	-\$3.71 (-3.9%)	Yahoo Finance
Brent Crude Oil	\$94.74	-\$3.07 (-3.1%)	Yahoo Finance
Gold (Aug)	\$4,509.70	+\$42.80 (+1%)	Yahoo Finance
Copper (Jul)	\$6.529	+\$0.021 (+0.3%)	Yahoo Finance
US Dollar Index	99.34	-0.19 (-0.2%)	Yahoo Finance
EUR/USD	1.1627	+0.0024 (+0.2%)	Yahoo Finance
USD/JPY	159.97	-0.03 (-0.02%)	Yahoo Finance
Bitcoin	\$63,413	-\$2,447 (-3.7%)	Yahoo Finance

3. KEY THEMES

BROADCOM BLOWS UP THE AI TRADE (TEMPORARILY)

Broadcom (AVGO) crashed 14% on Thursday after missing Q2 revenue and maintaining its \$100B AI chip sales forecast rather than raising it. Arm Holdings and Micron both dropped over 5%, and the VanEck Semiconductor ETF (SMH) fell 2%. This is the first real crack in the AI trade since the March lows. The market has been pricing in perfection from AI names, and Broadcom showed that even good is not good enough when expectations are this elevated.

ROTATION FROM TECH TO VALUE/DEFENSIVE

The Dow hit a record high while the Nasdaq fell -- a textbook rotation. UnitedHealth jumped 5%, JPMorgan climbed 4%, Walmart rose 1%, and Eli Lilly gained 5%. Investors are moving out of crowded AI/tech positions into banks, healthcare, and consumer staples. This is healthy in the short term but raises questions about whether the narrow market problem is being solved or just masked.

MIDDLE EAST ESCALATION AND OIL VOLATILITY

US-Iran tensions remain elevated. Iran struck Kuwait International Airport, and the US carried out self-defense strikes on Qeshm Island. The Strait of Hormuz remains effectively closed, threatening 20% of global oil supply. Oil prices retreated sharply (WTI -4%, Brent -3%) as traders bet on a diplomatic resolution. If talks fail, \$100+ oil comes back fast.

GOLD SURGES TO RECORDS ON INFLATION FEARS

Gold hit \$4,509/oz, up nearly 1% on the day, driven by accelerating US inflation and geopolitical hedging. April PCE inflation hit 3.8%, the highest since 2023. Markets now price a ~40% chance of at least one Fed rate hike before year-end, a dramatic shift from three months ago when zero hikes were expected.

BITCOIN IN FREE FALL

Bitcoin plunged 3.7% to ~\$63,400, extending its decline from recent highs. The crypto market is being squeezed by the stronger dollar, rising rate expectations, and broader risk-off sentiment. The correlation with Nasdaq has reasserted itself.

KEVIN WARSH ERA BEGINS AT THE FED

The Senate confirmed Kevin Warsh as the 17th Fed Chair. His first FOMC meeting as chair is June 16-17. Warsh is perceived as more hawkish than Powell, and his arrival coincides with inflation re-accelerating. The blackout period for his first meeting begins Saturday, June 6.

JOBS FRIDAY LOOMS LARGE

Today's May nonfarm payrolls report is the main event. The April report showed sharp gains following a strong March. Consensus expects another solid print. A hot number could reinforce rate hike expectations and pressure bonds and tech stocks. A weak number could reignite growth concerns but ease rate fears. Either way, expect volatility.

4. WHAT TO WATCH TODAY (Friday, June 5, 2026)

Time ET	Time BKK	Event	Impact
8:30 AM	8:30 PM	NONFARM PAYROLLS (May)	VERY HIGH
8:30 AM	8:30 PM	Initial Jobless Claims	Medium
10:00 AM	10:00 PM	ISM Services PMI (May)	High
10:00 AM	10:00 PM	Factory Orders (Apr)	Medium
3:00 PM	3:00 AM*	Baker Hughes Rig Count	Low

MARKET IMPLICATIONS: Nonfarm payrolls is the dominant risk event. A print above 250K would reinforce stagflation fears. A print below 100K would raise recession concerns but ease rate pressure. ISM Services above 50 supports the soft landing narrative. Watch for Fed speakers reacting to the data ahead of the June 16-17 FOMC.

5. THE HARD TRUTH -- DAMODARAN LENS

Let me be blunt about what is happening here:

THE MARKET IS PRICING IN PERFECTION AND CALLING IT A STRATEGY

The S&P 500 is at 7,583 -- near record highs -- while inflation is reaccelerating to 3.8%, the Fed is potentially hiking rates, the Middle East is on fire, and the AI trade just had its first real stumble. The VIX at 15.5 is telling you the market thinks everything is fine. It is not.

BROADCOM IS A CANARY, NOT AN ISOLATED EVENT

A 14% single-day drop in a mega-cap because guidance was not good enough tells you the bar is impossibly high. The entire AI complex is priced for 30-40% annual revenue growth sustained for years. One miss from one company and the whole sector bleeds. You are not diversified if your diversification is 7 tech stocks all trading at 30-50x earnings.

THE ROTATION IS A WARNING, NOT A BUY SIGNAL

Money moving from tech into JPMorgan and UnitedHealth is not bullish -- it is defensive. Smart money is reducing risk into a jobs report that could go either way, with a new Fed chair about to take the wheel, in the middle of a war. If you are chasing the Dow's record high, ask yourself: are you buying strength, or are you late to a rotation that already happened?

OIL IS THE TAIL THAT WAGS THE DOG

WTI at \$92 is still historically elevated. The diplomatic resolution trade that pulled oil off its highs is a bet on something that has not happened yet. If the Strait of Hormuz stays closed for another two weeks, we are looking at \$100+ oil, which means higher inflation, which means the Fed hikes, which means equities reprice lower. You are underestimating this risk.

THE FED PUT IS DEAD (FOR NOW)

Kevin Warsh is not Jerome Powell. He is not going to pivot at the first sign of market stress. With inflation at 3.8% and rising, the Fed's hands are tied. The market is pricing in a 40% chance of a hike by year-end. That is not priced into equities. If that probability moves to 60-70%, the S&P 500 does not grind higher -- it drops 5-8% in a week.

WHAT TO DO:

1. Reduce mega-cap tech exposure. Take profits in names that are up 30%+ YTD.
2. Add inflation protection: TIPS, commodities, gold miners.
3. Raise cash. 5-10% cash position gives you optionality if Jobs Friday triggers a volatility spike.
4. Hedge with VIX calls or put spreads on QQQ. The VIX is cheap at 15.5.
5. Do not chase the Dow. The rotation trade is already 2 days old.

6. WEEKLY CALENDAR (June 1-5, 2026)

Day	Time ET	Release	Impact
Mon	10:00 AM	ISM Manufacturing PMI (May)	High
Mon	10:00 AM	Construction Spending (Apr)	Medium
Mon	11:50 PM	Fed Speaker: Kashkari	Medium
Tue	8:55 AM	Fed Speaker: Hammack	Medium
Tue	10:00 AM	JOLTS Job Openings (Apr)	High
Wed	8:15 AM	ADP Employment Report (May)	High
Wed	9:00 AM	Fed Speaker: Barr	Medium
Wed	10:00 AM	ISM Services PMI (May)	High
Thu	8:30 AM	Initial Jobless Claims	Medium
Thu	--	Broadcom Earnings (after close)	High
Fri	8:30 AM	NONFARM PAYROLLS (May)	VERY HIGH
Fri	8:30 AM	Unemployment Rate (May)	VERY HIGH
Fri	10:00 AM	ISM Services PMI (May)	High
Fri	10:00 AM	Factory Orders (Apr)	Medium

UPCOMING NEXT WEEK:

- June 10: CPI Inflation (May) -- CRITICAL
- June 11: PPI Inflation (May)
- June 12: University of Michigan Sentiment (Jun prelim)
- June 16-17: FOMC Meeting (Warsh's first as Chair)

END OF BRIEFING | Sources: Yahoo Finance, CNBC, Reuters, Kiplinger, Trading Economics | Data as of: Thursday June 4, 2026 ~1:00 PM EDT | Next update: Friday June 5, 2026 (post-NFP)